



Improving Accountability in Los Angeles Transit Infrastructure

WRIT 340

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1 Executive Summary



2 Background



3 Problem

3.1

3.2 Unchecked Cost Overruns in Transit Projects

Cost overruns that expand beyond initial voter or board approval represent a major source of waste in Los Angeles transportation infrastructure. Once a project secures funding through a ballot measure or board vote, agencies are generally permitted to absorb additional costs without returning to voters. This removes a critical check on government spending.

The scale of this problem in Los Angeles is significant because of how local transit is funded. More than half of LA Metro's annual revenue comes from voter-approved sales taxes, primarily Measure R (a 0.5% sales tax approved by LA County voters in 2008) and Measure M (an additional 0.5% sales tax approved in 2016) [1]. Both measures listed specific projects with specific cost estimates on the ballot, but neither requires Metro to return to voters when those costs grow. As a result, the figures presented to voters at the ballot box rarely reflect what projects ultimately cost to build.

This dynamic is reinforced at the federal level as well. Many LA Metro projects are partly paid for through the Federal Transit Administration's New Starts program, a competitive grant program that funds new rail and bus rapid transit projects across the country. Research on New Starts projects has consistently identified an "optimism bias" in the cost estimates agencies submit to win funding, meaning estimates tend to be systematically lower than what projects actually cost [2]. A study published in the Journal of the American Planning Association found that this bias is institutional rather than incidental because agencies have organizational incentives to produce forecasts that promote the project rather than accurate forecasts [3].



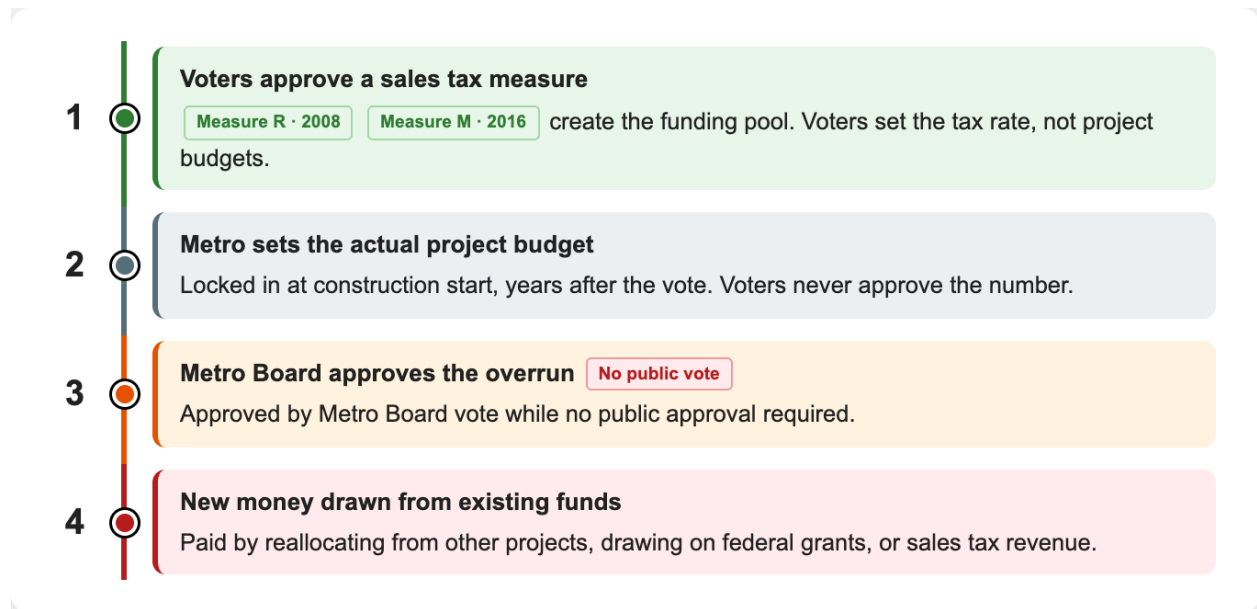


Fig. 1. How a Cost Overrun Moves Through LA Transit Funding: Voters approve the tax pool but never approve project budgets, allowing Metro to absorb overruns through internal board votes without returning to the public.

The U.S. Government Accountability Office, the federal agency that audits how government money is spent, reached a similar conclusion. Its review of U.S. rail transit projects found that overruns are systematically tied to initial cost estimates being set too low and that current federal oversight does not adequately limit post-approval budget increases [4]. As a result, projects in Los Angeles frequently start construction with budgets that are known to be unreliable. This resulted in overruns being normalized as a standard behavior for projects rather than treated as failures. The structural pipeline that allows this to happen is shown in Fig. 1, where voter approval of a tax pool is separated from the project budgets that actually spend it.

3.2.1 Case 1: D Line Subway Extension

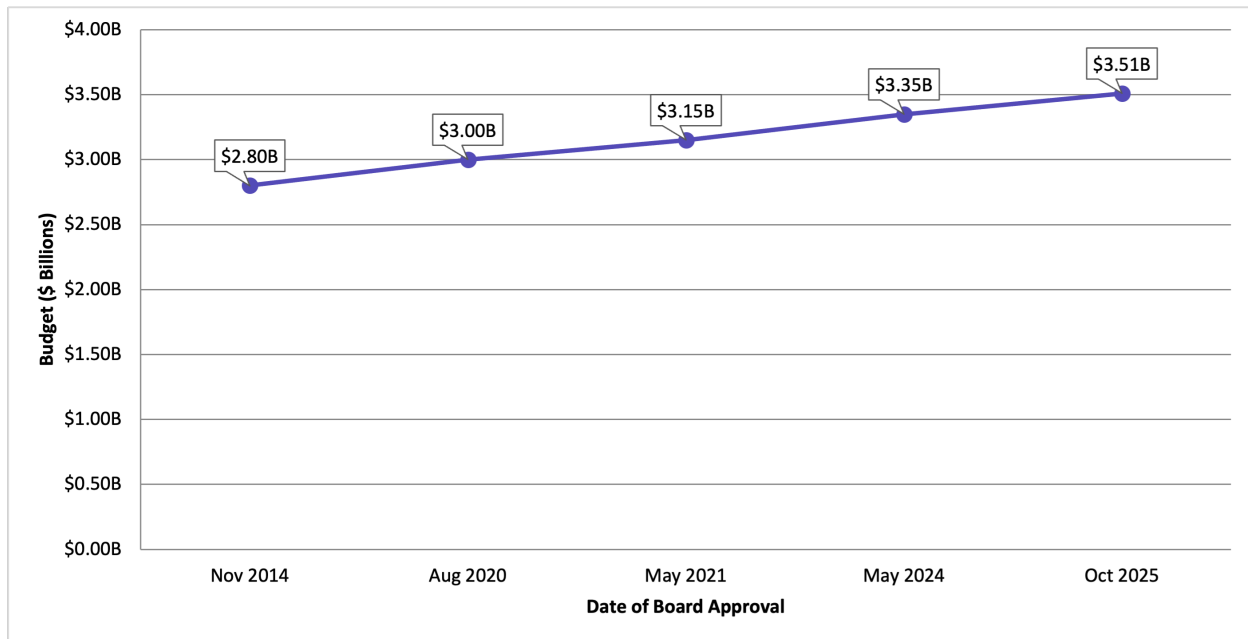


Fig. 2. D Line Section 1 Budget Over Time: Budget grew from \$2.80 billion to \$3.51 billion between 2014 and 2025, a 25% increase across four Metro Board votes with no voter re-authorization [5].

This pattern of unchecked post-approval cost growth is evident in several major Los Angeles transportation projects. The Westside Subway Extension, also known as Section 1 of the D Line (Purple Line), was originally budgeted at approximately \$2.80 billion when construction began in 2014. Since then, the Metro Board has approved multiple cost increases without a public revote, raising the projected total to roughly \$3.51 billion (as shown in Fig. 2) [1, 5].



3.2.2 Case 2: LAX Automated People Mover (APM)

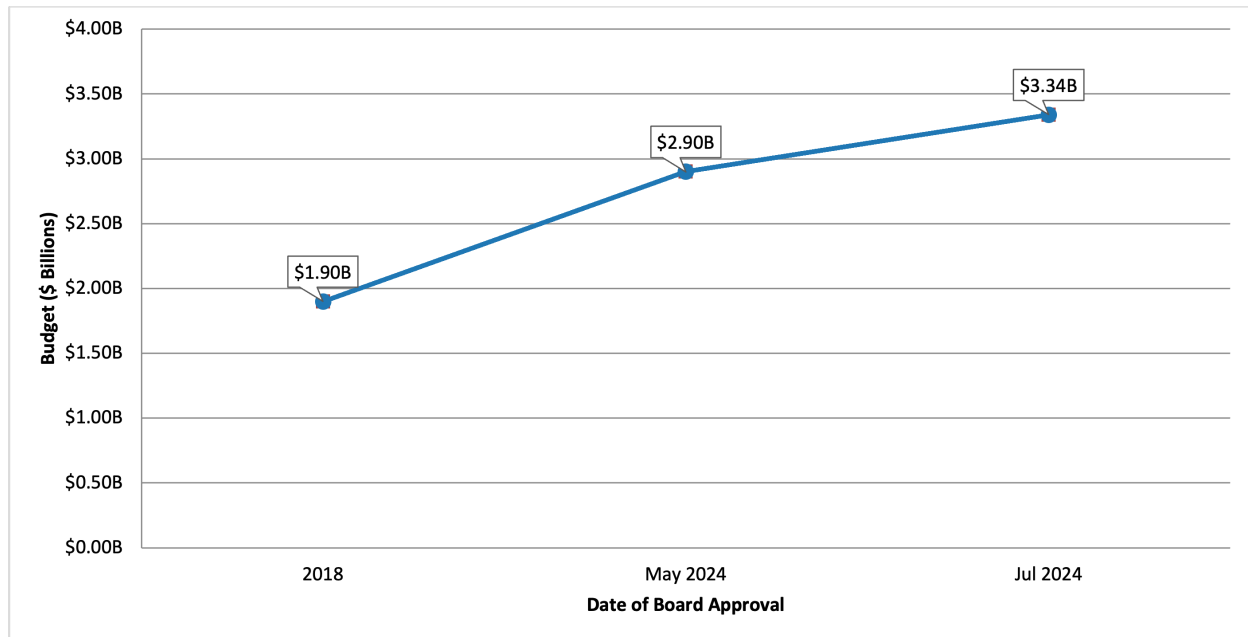


Fig. 3. LAX Automated People Mover Budget Over Time: Budget grew from \$1.90 billion to \$3.34 billion between 2018 and 2024, a 76% increase, with an additional \$880 million in contractor disputes still unresolved [6, 7, 8].

The LAX Automated People Mover, the elevated train system being built to connect Los Angeles International Airport to nearby parking and transit, was originally estimated at \$1.9 billion. Today its cost has grown to \$3.34 billion, with an additional \$880 million in contractor settlement disputes, despite the fact that the project remains unfinished as of early 2026 (as shown in Fig. 3) [9].



3.2.3 Case 3: California High-Speed Rail

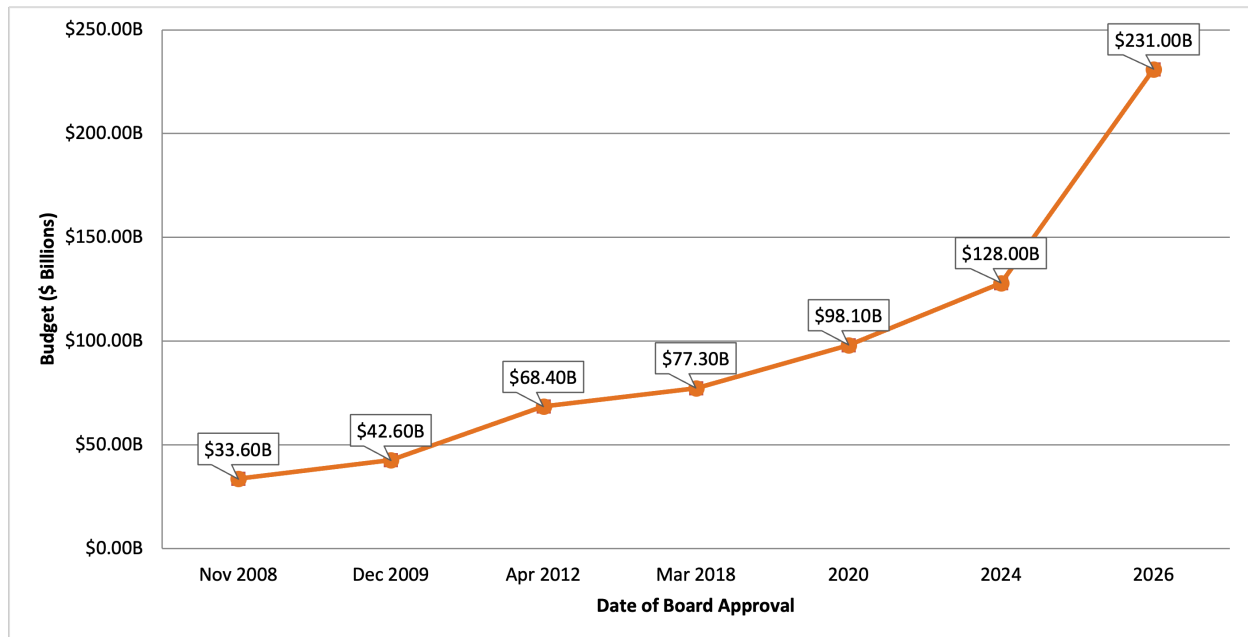


Fig. 4. California High-Speed Rail (Phase 1) Budget Over Time: Cost estimate grew from \$33.6 billion to \$231 billion between 2008 and 2026, a 588% increase, with no track segments operational [10, 11, 12, 13].

At the state level, the California High-Speed Rail project provides the clearest example of what happens when large infrastructure is approved without binding cost limits. In 2008, California voters authorized a \$9.95 billion bond to support the project, which was then estimated at approximately \$33 billion in total (as shown in Fig. 4) [14, 13]. The projected total cost has since escalated to over \$231 billion, and no track segments are operational [14, 13]. The Government Accountability Office found that this escalation was facilitated in part by the absence of an independent cost estimation requirement at the federal level for high-speed rail, which allowed initial figures to advance without external verification [14].

Together, these cases demonstrate that without enforceable cost ceilings, projects are able to expand far beyond the financial commitments originally made to voters.

3.3



4 Solutions

4.1

4.2 Voter-Approved Cost Caps

To address the issue of unchecked cost expansion after project approval, Los Angeles voter-approved transportation measures should be required to include legally binding cost caps for each major project listed in the expenditure plan. A cost cap is a maximum allowable budget assigned to a project at the time of voter approval. It would be calculated as the independently verified cost estimate plus a defined contingency percentage to account for reasonable construction risk such as weather delays or material price changes.

If projected or actual costs exceed this cap by a predetermined threshold, project funding would be automatically suspended. From there, one of two outcomes would be required to continue the project:

1. A public ballot re-authorization for any budget increase
2. For smaller breaches, a formal public hearing followed by a supermajority vote of the Metro Board of Directors

This creates a structural stopping point that does not currently exist.

This mechanism aligns with the research on accountability in megaprojects, which finds that meaningful cost discipline is achieved only when financial commitments are tied to enforceable approval gates rather than advisory oversight [15].

Implementation in Los Angeles should be paired with regulatory amendments to Measure M and any successor ballot measures. These amendments would require that all major capital projects above a defined cost threshold be subject to the cap mechanism. Compliance would be verified by an independent oversight body that operates separately from LA Metro's internal Office of Inspector General to avoid conflicts of interest.

4.3



5 Benefits

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5.2 Benefits of Voter-Approved Cost Caps

Voter-approved cost caps would prevent the unchecked budget expansion that currently characterizes major Los Angeles transportation projects. By assigning each project a legally binding ceiling at the time of approval, agencies would be unable to absorb large overruns through internal board action alone. This removes the structural permission that has allowed projects like the D Line Extension and the LAX Automated People Mover to grow well beyond their initial budgets [1, 9].

The cap also shifts the financial risk of inaccurate forecasting back onto the agencies and contractors responsible for producing those forecasts. Currently, the cost of an inaccurate estimate is borne entirely by taxpayers. Under a cap system, agencies would face direct consequences when their estimates prove unreliable, which changes the incentive structure at the planning stage.

Cost caps would also force greater financial discipline and more realistic planning at the proposal stage. When agencies and contractors know that exceeding a defined budget will trigger a public re-authorization process, they have a stronger incentive to produce accurate baseline estimates rather than optimistic figures designed to secure approval. This addresses the optimism bias that researchers have documented in federally-funded transit projects [2, 3].

Cost caps would also strengthen accountability to taxpayers by ensuring that public funds are used in a manner consistent with voter intent. In Los Angeles, ballot measures have become the primary planning mechanism for transit investment. Research from UCLA has found that these voter-approved measures have influenced the development of the regional transportation system more than the formal planning processes that are supposed to guide it [16]. If voters cannot trust that agreement, the funding system loses its legitimacy.

A binding cost cap protects this agreement by ensuring voters are not committed to open-ended financial obligations. Any major deviation from the original spending plan must be justified to the public through a renewed approval process, so the promises made on the ballot continue to hold weight after the votes are counted.

5.3



6 Next Steps



7 References

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